FOREX MONEY MACHINE ACADEMY

The Beginner's Guide to

Forex Trading

A plain-English introduction to currency trading — what it is, how it works, and the risk habits every beginner needs first.

1. What Is Forex Trading?

The foreign exchange ("forex" or "FX") market is where one currency is exchanged for another. It is the largest financial market in the world, with trillions of dollars changing hands every day. When you trade forex, you are always trading one currency against another — a currency **pair**, such as EUR/USD (Euro against US Dollar) or GBP/JPY (British Pound against Japanese Yen).

If you believe the Euro will strengthen against the US Dollar, you **buy** EUR/USD. If you believe it will weaken, you **sell** EUR/USD. Your profit or loss depends on how much the exchange rate moves in your favor — or against you — before you close the trade.

Why People Trade Forex

- The market is open 24 hours a day, five days a week, across global trading sessions.
- It requires relatively small starting capital compared to other markets.
- High liquidity means trades are executed quickly, with tight spreads on major pairs.

2. Pips, Lots and Leverage

Pips

A **pip** ("percentage in point") is the smallest standard price movement a currency pair can make. For most pairs, a pip is a movement in the 4th decimal place (0.0001). If EUR/USD moves from 1.0850 to 1.0860, that is a 10-pip move.

Lots

A **lot** is a standardized trade size. A standard lot is 100,000 units of the base currency, a mini lot is 10,000 units, and a micro lot is 1,000 units. Trade size directly determines how much each pip movement is worth in your account currency — larger lots mean larger swings in profit and loss.

Leverage

Leverage lets you control a larger position than your account balance would normally allow, by borrowing capital from your broker. For example, 1:100 leverage means a $1,000 deposit can control a $100,000 position.

*Leverage magnifies **both** profits and losses. It is one of the leading causes of beginner traders losing their accounts quickly — use it deliberately, not by default.*

3. Reading a Price Chart

Most traders read price using **candlestick charts**. Each candle shows four prices for a chosen time period: the open, high, low and close. A candle's body shows the range between open and close; the thin lines above and below ("wicks") show the highest and lowest prices reached.

- A green (or hollow) candle usually means price closed higher than it opened.
- A red (or filled) candle usually means price closed lower than it opened.
- Support is a price level price tends to bounce up from; resistance is a level it tends to fall from.

Beginners often try to memorize dozens of patterns before they understand the basics of trend, structure and risk. Start simple: is the market trending up, trending down, or moving sideways? Trade with that context in mind before layering on more advanced concepts.

4. Order Types You Should Know

Market Order

Executes immediately at the current market price. Fast, but you accept whatever price is available at that instant.

Limit Order

Executes only at a specific price or better. Used to enter a trade at a more favorable level than the current price.

Stop Order

Executes once price reaches a specified level, often used to enter breakouts or to exit a losing trade automatically (a "stop-loss").

Take-Profit

Automatically closes a trade once it reaches a specified profit target, removing the temptation to second-guess a winning trade in the moment.

5. Risk Management: The Non-Negotiable Rule

More trading accounts are lost to poor risk management than to poor market analysis. A trader who is right only 40% of the time can still be profitable with disciplined risk control; a trader who is right 70% of the time can still blow an account without it.

A Simple Framework

- Decide your risk per trade *before* you enter — commonly 1–2% of account balance.

- Always define your stop-loss before entering, not after the trade moves against you.
- Position size (lot size) should be calculated from your stop-loss distance, not guessed.
- Never move a stop-loss further away to "give a trade more room" once you're in a loss.

Use the Risk Calculator and Lot Size Calculator in your dashboard's free tools to turn these rules into exact numbers before every trade — no more guessing your position size.

6. Where To Go From Here

This guide covers the fundamentals every new trader needs before touching a live chart with real money. From here, Forex Money Machine Academy's structured courses go deeper into Smart Money Concepts, ICT methodology, Gold (XAUUSD) trading, and building a funded-account track record — all built on the risk-first foundation covered above.

Trading forex carries a high level of risk and may not be suitable for all investors. Past performance is not indicative of future results. This guide is educational content only and is not financial advice.